Medicine Pricing and Patient Protection

GS II

- The **Maximum Retail Price** sets the highest amount that sellers may charge consumers for a packaged medicine. However, hospitals and pharmacies can sometimes purchase medicines at prices far below this limit, creating a large difference between procurement cost and the amount charged to patients.

- When hospitals earn substantial margins from medicines, **financial incentives** may influence which brands they stock or recommend. Patients often cannot independently judge whether a prescribed medicine is necessary or reasonably priced, making them vulnerable to information gaps and possible overcharging.

- Price regulation seeks to protect patients from excessive medicine costs. However, controlling only the maximum selling price may leave considerable margins between wholesale procurement and final billing. A more effective system must examine how prices and incentives operate throughout the **medicine supply chain**.

- **Transparent billing**, reasonable pricing margins and stronger oversight can reduce opportunities for unfair charging. These safeguards are especially important for patients requiring long-term treatment because repeated medicine expenses can increase financial hardship and make continued healthcare less affordable.

Affordable healthcare requires more than medicine price ceilings. Transparent procurement, fair pricing practices and effective regulation are essential to protect patients from excessive treatment costs.